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MHC  
in case of  
the Clinton  
C. Miller  
P. Miller  
"The one that got away"  
at least we have  
a friend in an  
important place  
JB

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## THE FEDERAL TRIANGLE

# Verstandig Expected to Get Liaison Post

Lee Verstandig, who filled in as acting administrator of the Environmental Protection Agency after the resignation of Anne M. Burford, is expected to be named as President Reagan's new liaison with state and local governments.

Verstandig, who joined the administration in 1981 from the staff of Sen. John H. Chafee (R-R.I.) would replace Richard Williamson, who has been nominated to be the new U.S. envoy to international organizations in Vienna. Before taking over the EPA job, Verstandig had served as assistant secretary of Transportation for governmental affairs.

### Savings Estimate Challenged

A presidential advisory panel used out-of-date figures when it said it had figured out a way to save the government \$16 billion in retirement benefits over three years, Comptroller General Charles A. Bowsher told a congressional panel yesterday.

Bowsher, testifying before a House Post Office and Government Operations subcommittee on a report by the President's Private Sector Survey on Cost Control, also said that a recommendation to make government pay comparable to private-sector pay could cost the government several billion dollars—about as much as the survey said it would save.

The survey, composed of more than 160 businessmen, was appointed by Reagan last year to find ways of saving money by making government more efficient. Task forces working under the panel have identified more than \$100 billion in potential savings so far, with the biggest chunk—more than \$35 billion—coming out of federal pay and benefits.

Bowsher said the General Accounting Office was "concerned about the bases for the savings estimates," particularly the figures used to calculate savings by reducing retirement benefits.

The survey's personnel management task force reported that 29 percent of the government's personnel costs are for retirement benefits, compared to only 14

percent for the private sector. Bowsher cited a 1981 Congressional Research Service report that put the government figure at 24.2 percent and a 1983 Congressional Budget Office report that put the private-sector figure at 22.8 percent.

Bowsher also questioned the presidential panel's statement that Uncle Sam's retirement plan encourages early retirement.

"This is a commonly held perception that is not supported by actual experience," he said, citing surveys that put the average age of government retirees at 61 and private-sector retirees at 61.8.

A member of the panel, W.R. Grace & Co. executive Felix Larkin, defended the report, telling the House members that it was completed in October, 1982, and used the most recent data then available.

"We do not profess to be more infallible than Congress and I think it would be astonishing if there were not errors in the reports," Larkin said.

### IRAs Urged for U.S. Workers

Meanwhile, a Brookings Institution study has recommended that the federal government create individual retirement accounts for new federal employees as a way of bringing the federal pension system more in line with the private sector.

Under the proposal, part of a report written by Congressional Budget Office analyst Robert W. Hartman, the employee could contribute up to 11 percent of his salary, and the government would contribute up to 7 percent, or what the Office of Personnel Management says private industry contributes for its employees. Social Security would add additional money, but require employees to contribute another 7 percent of their earnings.

To make up for the less attractive pension plan, Hartman suggested a one-time salary adjustment of about 33 percent for entry-level jobs and 25 to 32 percent for top positions.

—Cass Peterson and Pete Earley

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